stated a 10 mil cap "would have the added benefit of aligning exchange fees with prevailing ATS fees and creating a more equitable competitive landscape across trading venues"[601] and another stated that "[t]he economic difference to a broker between routing to an . . . ATS [ ] versus an exchange would be much smaller than it is today, if a $.0005-$.0010 access fee cap replaces the current $.0030 mil cap."[602] According to one commenter, lowering the cap to 10 mils should "(1) lead to an increase in investor interaction with displayed quotes, (2) provide an economic reason for all participants to submit displayed quotes to an exchange, and (3) end the corrosive and discriminatory nature of the current exchange fee and rebate system."[603] Another commenter stated that reducing the level of the cap from 30 mils to 10 mils would "remove barriers to entry for new market participants," especially smaller trading firms and retail investors.[604] Further, commenters stated that the proposed reduction of the access fee caps would be beneficial to retail investors, as well as institutional investors and long-term investors.[605]

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basis for such conclusions other than by making bald assumptions about exchanges' costs. . . . [N]et transaction fees are far lower on exchanges than they are on ATSes."); Nasdaq Letter III at 3 (stating commenters' analysis of ATS-Ns revealed "large variations among ATS fees and some of them are similar or higher than exchange fees. . . including fees as high as $0.06); Nasdaq Letter IV at7-8 (providing data regarding range of ATSs minimum/maximum fees and stating ATS fees are highly variable and 10 mils is not representative of transaction fees on or off exchanges).

601 BlackRock Letter at 11.

602 RBC Letter at 4.

603 ASA Letter at 5.

604 See Verret Letter I at 9; Verret Letter III at 22. But see Letter from Barbara Comstock, Executive Director, American Consumer and Investor Institute, dated June 1, 2023 ("ACII Letter I") at 6 (commenting generally that fundamental changes to existing market structure could roll back innovations that have "opened up today's markets to millions of new and diverse investors."); NASP Letter at 2 (commenting generally that proposed NMS changes could harm retail investors by "making the process of buying and selling stock more difficult and potentially reinstating barriers to entry"); Nasdaq Letter II at 2-3 (stating "the cost of access fees has actually fallen since 2005 by one-third" and "the burden of access fees relative to the all-in trading costs of participants has not grown over time; instead, it has remained relatively flat.").

605 See, e.g., Council of Institutional Investors Letter at 3; Ontario Teachers et al. Letter at 2; Themis Letter at 8; IEX Letter IV at 13, 23; Better Markets Letter I at 16.

Several commenters stated their support for reducing the amount of the access fee caps, but cautioned that further analysis is necessary to determine the appropriate amount and parameters of any reduction to avoid unintended consequences.[606] The Commission disagrees for a number of reasons. Further delay is not warranted because the access fee caps have been extensively considered for many years.[607] In addition, the Commission has weighed several factors in determining to reduce the access fee caps to 10 mils and, as discussed further below in the Economic Analysis, concludes that this reduced level appropriately accommodates various competing interests.[608] The adopted level of 10 mils for access to protected quotes priced $1.00 or more reflects the views of many commenters to the Proposing Release[609] and has been suggested by market participants in other contexts.[610] Further, as discussed above, a 10 mil cap strikes an appropriate balance between reducing the cap to help to address distortions in the market associated with the preexisting fee caps, while also preserving the ability of the national securities exchanges to continue to operate with their current net capture rates.[611] Finally, the Commission has reviewed the fees charged by trading centers that do not have protected quotes so do not have an incentive to charge excessive fees to market participants required to access

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606 See, e.g., STA Letter at 7-8; ICI Letter I at 16; Nasdaq Letter I at 2 and 19.

607 See supra notes 362 and 364.

608 See infra section VII.D.2.

609 See supra note 595.

610 See Goldman 2018 Letter at 1-2 (stating commenter's support for reducing the access fee cap to $0.0010 because a 10 mil cap would be calibrated with then-present-day [2018] trading and execution costs, would better ensure displayed prices reflect the actual economic costs of an execution, and would allow exchanges to continue maintain their current net capture rates, while also choosing to offer rebates to incentivize liquidity provision if they chose to do so). Further, the EMSAC also considered, among other things, whether the access fee cap should be modified. See supra note 4.

611 See infra section VII.D.2.

protected quotes and 10 mils is consistent with the range of rates assessed by such trading centers.[612]

Other commenters recommended applying different access fee caps depending on the liquidity profile of a particular security.[613] Further, some commenters suggested specific alternative models and/or levels of access fee caps.[614] A few commenters stated that the access fee caps should be expanded to cover full depth-of-book quotations[615] or auctions.[616] However, one commenter disagreed with these concerns and stated that "the fee cap has been equally applied to all stocks regardless of price, spread, or trading volume since it was enacted" and further stated that "[e]xchange processing costs are exactly the same" regardless of these varying characteristics.[617]

As discussed above, the access fee caps under Rule 610 establish the upper limit for fees that trading centers can charge for access to protected quotations. The access fee caps do not apply to depth-of-book quotations or auctions because these are not protected quotations. As discussed throughout, the access fee caps are designed to preserve fair and efficient access to

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612 See infra note 1118. The Commission acknowledges variability within the rates assessed by ATSs, with some transactions subject to fees above 10 mils and some below 10 mils based on attaining certain levels of volume as well as other variability within the fee schedules. Commenters have stated that the fees they experience are often in the range of 10 mils, which is informative in considering an appropriate level of the access fee caps because such statements reflect the current market rate paid for execution services as reported by participants. See infra notes 658-659 and accompanying text.

613 See, e.g., BlackRock Letter at 10-11; T. Rowe Price at 4-5; Citigroup Letter at 5-6.

614 See, e.g., MEMX Letter at 3 and 24-28; Nasdaq Letter I at 19; William O'Brien, Former CEO, Direct Edge, dated Apr. 13, 2023 ("O'Brien Letter") at 5; Optiver Letter at 3.

615 See, e.g., Citadel Letter I at 25; FIA PTG Letter II at 3.

616 MEMX Letter at 3, 24-28.

617 IEX Letter VI at 3. This commenter further stated that the "benefits that exchanges have received from technological advances and increased efficiencies in determining their own costs to process orders . . . apply exactly in the same way for trading in all classes of securities" and therefore retaining a uniform, lower "fee cap across all stocks (priced greater than $1.00 per share) avoids further complexity to trading decisions from fees that can vary for the same stock based on changes in the applicable tick size." Id.

protected quotations, regardless of the liquidity profiles of NMS stocks. Trading centers are able to develop different fee structures within this construct and in a manner that is consistent with the Exchange Act. The Commission is not setting the access fee caps to a specific percentage of the minimum pricing increments in part because they address different regulatory objectives. An important objective of an access fee cap (to preserve access to protected quotes) is distinct from an objective of tick size (e.g., to prevent stepping ahead of displayed orders).[618] However, as discussed above, because the Commission is reducing the minimum pricing increment under Rule 612, it is also reducing the levels of the access fee caps to prevent the distortions that would occur if an access fee is more than one half of the tick.[619]

Further, amending Rule 610 to adopt variable caps to reflect different liquidity profiles of different stocks would expand and change the objective of the rule, which is to ensure the fairness and accuracy of protected quotations by establishing an outer limit on the cost of accessing such quotations.[620] The access fee caps were not designed to establish fees for executions, they were designed to limit the amount of fees that can be charged for access to the best priced quotes in the national market system. Trading centers may adopt fees (and rebates) to incentivize trading in NMS stocks with different liquidity profiles in a manner consistent with the Exchange Act, including the limits imposed by the access fee caps.

Another commenter stated that there is no valid basis to support a claim that the current fee cap is excessive.[621] This commenter stated that the Commission did not substantiate reduced

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618 See supra section III.A and section III.C.1.

619 See infra section VII.D.2.a and notes 1419 and 1425.

620 See also note 351.

621 Nasdaq Letter III at 2.

costs as a justification for lowering the access fee caps.[622] This commenter also stated that, "the Commission present[ed] no cost-based methodology for arriving at the levels of access fee caps it proposes"[623] and therefore the proposed caps are "arbitrary and capricious" because the caps do not "bear a reasonable relationship to the actual costs of executing trades on the exchanges."[624] The commenter further stated that "[t]echnology costs, and improvements thereto, are not significant determinants of access fee levels."[625] Further, this commenter also stated that "exchange platform costs" (i.e., the constellation of related services of which transaction services are only one part) to market participants have "remained competitive over time."[626] Finally, according to this commenter, "access fees and rebates represent more than the simple economic costs to an exchange of effecting a trade; they also reflect the value of the information that quotes provide to the market, and the value to participants of having access to those quotes."[627] Another commenter stated that the current cap was "rather arbitrarily selected" and in its view has "resulted in continued industry disagreement."[628]

However, another commenter disagreed, stating "the current access fees are unreasonably high when taking into consideration the lower exchange costs stemming from increased

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622 See Nasdaq Letter I at 21; Nasdaq Letter II at 4. This commenter stated that "determining such costs and setting appropriate rates based upon those costs are inherently difficult" and further stated that "a government agency like the Commission is ill-suited to tackle [such a task]" and should refrain from doing so. Nasdaq Letter I at 22. See also Cboe Letter III at 5; Nasdaq Letter III; Equity Markets Association Letter at 2.

623 Nasdaq Letter II at 4-5.

624 Nasdaq Letter II at 4. See also Nasdaq Letter III at 2; Nasdaq Letter I at 22.

625 Nasdaq Letter II at 4. See also Nasdaq Letter III at 2.

626 Nasdaq Letter II at 4-5.

627 Nasdaq Letter I at 21; Nasdaq Letter II at 4.

628 Cboe Letter II at 8.

efficiencies and technology advancements that have occurred since 2005."[629] Although other trading costs have decreased, access fees have not and, according to this commenter, such fees "now represent an outsized portion of transaction costs."[630] The commenter further stated it was appropriate for the Commission to rely on reduced costs to justify the reduction in the access fee cap.[631] The commenter stated because "the 30-mil cap exceeds the typical cost to trade on non-protected venues, it encourages investors to seek alternatives to accessing displayed quotes" which drives order flow to off-exchange venues.[632]

As discussed throughout this release,[633] market participants have stated that the access fee caps are outdated and no longer reflect the current market structure. One commenter stated that the Commission, by identifying that the markets have changed due to market innovations and technological efficiencies and that transaction and trading costs had been reduced, and providing statements of market participants to support this statement,[634] was suggesting that the access fee cap "no longer bears a reasonable relationship to the actual costs of a trade."[635] This misconstrues the Commission's statement recognizing that the markets are different than they were in 2005. Under the preexisting access fee caps, fee and rebate structures have developed

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629 IEX Letter IV at 8. See also Better Markets Letter I at 16 ("There is certainly no economic justification in terms of defraying the exchanges' costs of processing and matching trades, as those costs have dropped with the advent of advances in technology."); Verret Letter III at 13 ("Access fees charged to broker-dealers and other market participants simply to access liquidity on certain exchanges often greatly exceed the actual costs associated with providing that liquidity access.").

630 IEX Letter IV at 8. See also Goldman Sachs 2018 Letter at 1-2.

631 See IEX Letter IV at 6.

632 IEX Letter IV at 8.

633 See, e.g., supra section IV.B.2.

634 See Proposing Release, supra note 11, at 80290 n.293.

635 Nasdaq Letter I at 21. See also Nasdaq Letter II.

such that access fees are predominantly used to pay rebates to liquidity providers and these structures have resulted in distortions in the market.

The Commission considered many factors and the views of commenters, and balanced competing factors when it adopted the original fee caps in 2005.[636] Likewise, as discussed above, the Commission again has considered and balanced many factors,[637] including the effects on liquidity and trading costs for market participants[638] in coming to the determination that the 10 mils access fee cap is appropriate for all protected quotations priced $1.00 or more.[639] As discussed throughout this release, the Commission has reduced the caps to a level that is sufficient to mitigate the market distortions associated with the fee schedules that have been developed under preexisting access fee caps and to accommodate the new minimum pricing increments under amended Rule 612, while also preserving the viability of the agency market business model.[640]

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636 See generally, Regulation NMS Adopting Release, supra note 4.

637 See supra note 608 and surrounding text.

638 See infra section VII.D.2.c (analyzing the effects of rebates for providing liquidity).

639 Several commenters stated that access fees under the preexisting caps have become a larger portion of overall transaction costs because such costs have decreased significantly since the access fee cap levels were established almost two decades ago. See, e.g., infra notes 1438-1441 and accompanying text and supra 364 and 365 and supra notes 597-598 (describing reasons why costs have decreased). The Commission has considered costs, and specifically commenters' concerns relating to costs, as one of several factors in its analysis and determination that a 10 mils access fee cap is appropriate. As the Commission stated in 2005, reaching appropriate policy decisions in a complex area such as fees for access to the best quotations displayed in the national market system requires balancing policy objectives that sometimes may not point in precisely the same direction. See Regulation NMS Adopting Release, supra note 4, at 37498.

640 See supra section IV.D.1.c. and infra section VII.D.2.b.

Most exchanges provide access to protected quotations and retain an estimated net capture of 2 mils.[641] However, as discussed below,[642] a net capture of 2 mils is not uniform across all exchanges and some have an estimated net capture that is higher than 2 mils.[643] This suggests that the preexisting levels of the access fee caps are higher than necessary to preserve the viability of the agency market business models. The adopted level of 10 mils for access to protected quotes priced $1.00 or more is appropriate because it will allow trading centers to continue to provide access to protected quotations and retain a net capture to fund their transaction services. Recalibrating the level of the cap with a consideration of current market rates to provide execution services is appropriate and consistent with how the Commission set the preexisting rates.[644]

Finally, as stated above, the access fee caps were not developed as a means to enable the payment of rebates. However, under the preexisting access fee caps, access fees are predominantly used to fund the rebates paid to liquidity providers. As also stated above and discussed further below, liquidity providers are able to post bid and offer prices that account for the risk of displaying protected quotations without needing the payment of a rebate.[645]

In deciding to adopt a single 10 mil fee cap for all protected quotes in NMS stocks priced $1.00 or more, the Commission has also considered the rates charged by other agency markets for access to non-protected quotation liquidity because such trading centers are not subject to the

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641 See supra section IV.D.1.c. and infra sections VII.C.2 and VII.D.2.b and notes 1101 - 1103 and accompanying text. As discussed below in the Economic Analysis, the Commission estimates for purposes of this release that exchange net capture is 2 mils, while also recognizing that net capture can range from approximately 2 to 6 mils. See infra note 1103.

642 See id.

643 See id.

644 See infra note 357 and discussion below.

645 See supra section IV.B.2.b. See also infra section VII.D.2.c and note 1458 and accompanying text.

preexisting 30 mils access fee cap and therefore the rates for execution services established by such markets are subject to competitive market forces that are not capped.[646]

One commenter stated that ATS fees are not a good benchmark to determine the appropriate level of exchange access fees because, in their view, exchange access fees should be higher than off-exchange venues' access fees.[647] This commenter stated that "[e]xchange access fees compensate for the risk associated with posting lit quotes as well as the value associated with accessing immediate liquidity."[648] In addition, according to this commenter, exchange pricing is "designed to attract quotes, whereas ATS pricing is designed only for trades" and ATSs "leverage lit quotes" produced by exchanges to determine ATS's transaction pricing.[649] Finally, this commenter stated that the rates charged by off-exchange venues "vary significantly in structure, functionality, and fees" to the extent they are actually known publicly and disagreed with the conclusion that "10 mils is a representative fee for accessing liquidity off exchange."[650]

Other commenters disagreed.[651] According to one commenter, certain ATSs provide specialty services such as block trading and the ability to use conditional order types to achieve

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646 See infra notes 1116 - 1118 and accompanying text.

647 Nasdaq Letter IV at 8.

648 Nasdaq Letter IV at 8.

649 Id.

650 Nasdaq Letter IV at 7. This commenter further stated "nothing beyond anecdotal reports suggests that 10 mils is a representative fee for accessing liquidity off exchange." Id.

651 See, e.g., IEX Letter VI at 5 (stating "ATSs that accept and process orders for NMS stocks in the same way as exchanges do characteristically charge in the range of 10 mils per share."); BlackRock Letter at 11 (stating that 10 mil cap "would have the added benefit of aligning exchange fees with prevailing ATS fees and creating a more equitable competitive landscape across trading venues"); Verret Letter I at 7 (lowering access fee cap from 30 mils to 10 mils would be "more in line with the fees charged by most ATS platforms,"); IEX Letter V at 5 (stating because ATS fees "are affected by market forces and not pegged by regulation, they are highly relevant to the question of where to set an updated fee cap."). See also Letter from Stacey Cunningham, President, NYSE, to Brent Fields, Secretary, Commission, dated Oct. 2, 2018 (commenting on File No. S7-05-18 "Transaction Fee Pilot for NMS Stocks") (stating reducing the access fee cap to 10 mils will bring the access fees exchanges charge to remove liquidity in line with the rates charged by ATSs).

certain trading strategies, and typically charge higher than 10 mils for such specialized services.[652] However, according to this commenter, ATSs that operate a continuous book market are similar to exchanges that provide similar services and those ATSs charge "a maximum rate of 10 mils" for such services and such venues collectively represent approximately 42% of all ATS volume during 2023.[653] According to this commenter, "this data is strong evidence that the standard comparative rate for immediate access to liquidity in NMS stocks on ATSs that offer this [continuous book] service is, in fact, 10 mils per share."[654] This commenter further stated that exchanges are "able to charge higher prices than other markets, precisely because of the 'protected quote' status" which is "what the SEC sought to prevent in 2005, in furtherance of the statutory goal of fair distribution of quotation information."[655]

The fees charged by many ATSs that provide execution services similar to exchanges are often reflected in a range and sometimes are based on volume transacted, and ATSs typically do not pay rebates.[656] As stated above, several commenters stated that a 10 mils access fee cap would be consistent with the access fees charged by ATSs.[657] These statements are informative in considering an appropriate level of the access fee caps because they reflect the current market

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652 IEX Letter VI at 5-6; IEX Letter V at 5-6.

653 IEX Letter VI at 5 (referencing public data showing ATS access fees in the range of 10 mils and below). See also IEX Letter V at 5-6.

654 IEX Letter VI at 5 (stating 10 mils is the relevant comparative rate charged by ATSs).

655 IEX Letter IV at 6. But see Nasdaq Letter V at 2 (stating "ATSes enjoy advantages [including the ability to segment order flow] that would persist, and likely increase, with a lower cap on access fees.").

656 See infra sections VII.C.2.b and VII.D.2, note 1118 and accompanying text. See also Proposing Release, supra note 11, at 80314 (stating a review of form ATS-Ns on which ATSs provide a range of the fees charged shows such fees are often in the range of 10 mils).

657 See supra note 651.